

SMBC-Backed Yes Bank Sees Indians Tip-Toeing Back to Deposits

Reported by Siddhi Nayak & Ashutosh Joshi | Published: June 12, 2026

EXECUTIVE SUMMARY

- **Return to Stability:** Indian retail savers are starting to rotate funds out of volatile stock markets and back into bank fixed deposits.
- **Geopolitical Headwinds:** High market valuations and rising global geopolitical tensions (including crude oil pressure) are reducing retail appetite for equities.
- **SMBC Partnership:** Japan's second-largest banking group SMBC holds a 24.9% stake in Yes Bank, driving corporate and retail deposit collaboration.

Indian households are beginning to cautiously steer their savings back into bank deposits as a sluggish stock market and heightened geopolitical worries dampen the appeal of riskier assets, according to the head of Sumitomo Mitsui Banking Corp. (SMBC)-backed Yes Bank.

“Anecdotally, both at the bank and across the industry, we see some savings returning to deposits. We are receiving a lot of inquiries about whether this is a good time to shift from equities to fixed deposits.”

VINAY TONSE, MD & CEO, YES BANK

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A gradual migration back to fixed deposits would provide much-needed relief to Indian banks, which have struggled to grow their deposit base fast enough to keep pace with robust credit demand, triggering intense

competition across the sector. According to the latest Reserve Bank of India (RBI) data, bank credit in India grew **16.2%** in the year leading up to May 15, 2026—the fastest growth rate since June 2024—while deposits grew by **12.2%** over the same period.

Stock Market Cool Down

For the past few years, Indian household financial assets shifted heavily from traditional bank accounts to equities and mutual funds as stock market returns consistently outperformed deposit rates. However, these equity-linked flows are considered less stable by regulators, attracting higher capital requirements. Some of this money is now flowing back to banks.

Indian equities had staged a historic rally from their pandemic lows, hitting an all-time high in September 2024. Since then, the market has faced headwinds. Foreign investors have pulled funds due to rich valuations and the allure of artificial intelligence (AI) booms in other global regions, while rising oil prices driven by geopolitical conflicts (including the Iran war) have added further pressure. Consequently, inflows into Indian stock mutual funds fell last month to their lowest levels in three years.

SMBC and Yes Bank's Partnership

SMBC Group became the largest shareholder of Yes Bank last year after acquiring a **24.9% stake** in the lender. At the time, the transaction represented the largest-ever foreign investment in the rapidly growing Indian banking sector, reflecting a broader trend of Japanese firms establishing retail footprints in the country.

Tonse, who has over 35 years of banking experience and previously led the retail operations at the State Bank of India (SBI), noted that Yes Bank has established a reciprocal customer referral agreement with Sumitomo Mitsui Banking Corp. for retail and deposit products.

So far this year, Yes Bank's shares have risen **3%**, outperforming the broader Indian bank index, which has fallen by approximately **7%**.

Navigating Competition

Yes Bank, which currently operates over 1,300 branches across the country, plans to leverage its physical footprint to continue gathering deposits under Tonse's leadership (who took charge in April 2026).

Tonse explained that the bank is avoiding chasing high-cost growth. Instead, it has begun lowering deposit rates at a faster pace than the rest of the industry to keep funding costs under control.

This comes amid fierce competition from industry giants like HDFC Bank, ICICI Bank, and Axis Bank, which are also adjusting interest rates and product structures to capture household savings.